

ORIGINAL

(S E R V E D)
(JANUARY 21, 1998)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

DOCKET NO. 89-26

THE GOVERNMENT OF THE TERRITORY OF GUAM, ET AL.

v.

SEA-LAND SERVICE, INC. AND
AMERICAN PRESIDENT LINES, LTD.

ORDER

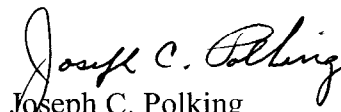
One of the issues in this proceeding involves the appropriate method for allocating Cargo Handling Expense to the Guam trade. Witnesses for both American President Lines, Ltd. ("APL") and the Government of Guam ("GovGuam"), A. Lawrence Kolbe and Dr. Ernest Nadel respectively, testified at some length on the issue. Each arrived at an amount that he believes should be allocated to the Guam trade for the following expenses which make up Cargo Handling Expense: Cargo, Barge, Container Expense; Cargo Handling; CFS/CY, and Cargo Transportation. Although each witness explained in narrative form how he arrived at the allocation, neither detailed the precise steps that he followed in making the allocation. The work papers supporting the allocation also were not submitted for the record. The Commission requires the figures used by these witnesses and a detailed explanation of the steps they followed in making the allocations, in order to make an informed decision regarding the relative merits of the allocation methods.

THEREFORE, IT IS ORDERED, That American President Lines, Ltd. and the Government of Guam furnish the Commission with a detailed explanation of the steps followed by their respective witnesses, A. Lawrence Kolbe and Dr. Ernest Nadel, in allocating the following expenses making up Cargo Handling Expense: Cargo, Barge, Container Expense; Cargo Handling; CFS/CY; and Cargo Transportation.

IT IS FURTHER ORDERED, That American President Lines, Ltd. and the Government of Guam furnish the Commission with the work papers, properly cross-referenced and indexed, which were prepared in support of their respective Cargo Handling Expense allocations.

IT IS FURTHER ORDERED, That American President Lines, Ltd. and the Government of Guam file the explanation and work papers described above with the Secretary no later than February 10, 1998.

By the Commission.


Joseph C. Polking
Secretary